

VERITRUST SOCIAL AUDITS (PVT) LTD · INDEPENDENT THIRD-PARTY ASSESSMENT

Social Compliance Audit Report — Summary

Site audited	Lotus Apparel (Pvt) Ltd, No. 42, Zone Access Road, Biyagama Export Processing Zone, Walgama, Malwana
Audit type	Full initial audit, semi-announced (two-week window)
Audit scope	Four pillars: labour standards, health and safety, environment, business ethics
Audit dates	19 May 2026 to 20 May 2026
Audit man-days	3 (two auditors)
Workers on site	408 (interviewed: 28, of which 12 in group interviews)
Report reference	VSA-26-0519, issued 29 May 2026

1. Overall result

The audit found **no critical and no major non-conformities**. **Four minor non-conformities** and one observation were raised. The site is rated **“Approved — minor improvements required”**, with a desktop review of corrective action evidence required within 90 days of the audit.

Area	Critical	Major	Minor	Observation
Labour standards	0	0	1	0
Health and safety	0	0	2	1
Environment	0	0	1	0
Business ethics	0	0	0	0

2. Good practices noted

- Wages for the sampled months were paid on time, by bank transfer, and above the national minimum wage.
- Fire drill records were complete, including night-shift drills.
- Age verification records were complete for all 40 personnel files sampled.

3. Corrective action plan

No.	Finding	Severity	Corrective action agreed	Due date	Status
NC-01	Monthly inspection tags missing on 4 fire extinguishers in Building B.	Minor	Tag and inspect all units; add tag check to monthly checklist.	15/06/2026	Closed 05/06/2026
NC-02	First aid box in cutting section missing burn dressings and eye wash.	Minor	Restock; assign weekly checks to section first aider.	15/06/2026	Closed 28/05/2026
NC-03	Overtime consent forms not signed by 7 of 40 sampled workers for April 2026.	Minor	Re-brief supervisors; HR to reconcile consent forms against overtime register monthly.	30/11/2026	Open
NC-04	Chemical store (machine oils, spot-cleaning solvent) lacks secondary containment.	Minor	Install bunded pallets and spill kit; update chemical inventory.	31/10/2026	Open
OB-01	Some aisle markings faded in Building A sewing floor.	Observation	Repaint during next maintenance shutdown.	—	Open

4. Auditor declaration

This report reflects the conditions observed during the audit days only. Findings are based on document review, site observation and worker and management interviews. The full report with evidence is held by the audit firm.

R. K. Seneviratne
Lead Auditor

M. F. Rizna
Auditor